Two Philosophies for Retirement Income Planning

Within the world of retirement income planning, the siloed nature of financial services between investments and insurance leads to two opposing philosophies about how to build a retirement plan. There is an old saying that if the only tool you have is a hammer, then everything starts to look like a nail. This tendency is alive as those on the investments side tend to view an investment portfolio as a solution for any problem, while those on the insurance side tend to view insurance products as the answer for any financial question.

While we have just reviewed the general benefits and disadvantages of the general categories of investments and insurance, it is worthwhile to dig deeper into how the two schools distinctly approach the retirement income challenge in an effort to bridge the gap between these two philosophies. Ultimately, we can integrate both philosophies into a comprehensive strategy that can promote more efficient overall retirement income planning and support more income and legacy.

As I said before, I distinguish the opposing schools as either probability-based (investments) or safety-first (insurance). Understanding the distinctions and thought processes of both schools is important; discussions about retirement income planning can become quite confusing. Each individual investor must ultimately identify which school can best support his or her financial and psychological needs for retirement.

Indeed, advocates of the two schools view retirement income planning differently. They provide opposite answers for basic questions such as:

- Can people effectively prioritize among different financial goals in retirement?
- What is the best way to invest financial assets for retirement income?
- Is there a sustainable spending rate from a portfolio of volatile assets?
- What role do income annuities play in a retirement income strategy?